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Portland Public Schools Faces $65 Million Deficits

Superintendent details consequences of inaction and urgent need for cuts

Nov. 2, 2026 **(PORTLAND, ORE.) —** Portland Public Schools Superintendent Dr. Kimberlee Armstrong today outlined the significant staffing and program cuts facing the district as it works to close a projected $65 million budget deficit for the 2027–28 school year and end years of deficit spending.

At a news conference, Armstrong detailed the potential impact on students, schools and staff, along with the financial pressures driving the reductions, including four consecutive years of major budget shortfalls, declining enrollment, rising operating costs and a substantial increase in the district's PERS obligations. She emphasized the importance of transparency in explaining the difficult decisions ahead and the steps PPS must take to restore long-term financial stability**.**

“Our community deserves to know exactly where we stand,” Armstrong said. “That means being clear about the size of the problem, how we got here and what happens if we don't make changes. These are difficult conversations, but we owe our students, families and staff the truth.”

The Past: Years of Growing Financial Pressure

PPS has faced four consecutive years of significant budget shortfalls as enrollment has declined, operating costs have risen and state funding has failed to keep pace with the cost of educating students.

Enrollment has declined 9.5% since 2020, while the district continues to operate essentially the same number of school buildings. Inflation, rising employee compensation costs and the expiration of federal pandemic relief funding have added to the financial strain.

Since the 2023–24 school year, the district has made $171.8 million in budget reductions. PPS has also taken steps to manage its pension costs, saving the state approximately $500 million through pension obligation bonds since 2002. Despite those efforts, pension costs remain a major financial pressure, with PPS facing a substantial increase in its PERS obligations in the coming year

The Present: A $65 Million Deficit

PPS now faces a projected $65 million General Fund shortfall for the 2027–28 school year. Closing that gap will require significant reductions across the district, including staffing, programs, central office services and operations.

Armstrong outlined what those reductions could mean for students, schools and staff, emphasizing that the district must make difficult choices to protect its financial future.

The district is sharing its financial projections and the tradeoffs ahead so families, employees and the broader community understand what is at stake. School closures and consolidations are among several strategies PPS is evaluating to reduce costs and better align its operations with declining enrollment, but it will not eliminate the need for broader budget reductions.

The Future: Ending Deficit Spending and Restoring Stability

Armstrong said the district's goal is to end deficit spending, balance its budget and create a more predictable financial future for students, families and employees.

“We cannot keep operating from one budget crisis to the next,” Armstrong said. “We need to make the difficult decisions now, explain those decisions openly and build a district that can sustain strong schools and programs for years to come.”

Armstrong emphasized that financial stability is essential to protecting educational opportunities for students. By confronting the deficit now, PPS aims to move away from repeated annual cuts and toward a more sustainable approach to funding its schools.

PPS will continue working with the Board of Education and the community to address the budget shortfall and make the difficult decisions necessary to end deficit spending. The district's goal is to restore financial stability and provide students, families and staff with a more predictable future.

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About Portland Public Schools

Portland Public Schools, founded in 1851, is Oregon’s largest PK-12 school district, with more than 43,000 students in 81 schools. PPS aspires to graduate compassionate, critical thinkers who are able to

collaborate to solve problems and lead a more socially just world. Central to this goal is affirming and operationalizing our deeply held community value of racial equity, social justice and inclusion. Learn more at pps.net.